Israel: energy security, economic opportunity and partnership priorities

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AI-generated from the data and checked against it; paper baseline as of 12 October 2026.

Summary

- Israel is most exposed in upstream coal and midstream electric vehicles, where its Energy Security is higher than only 5% and 16% of the other economies scored. In coal, production minus consumption was -0.0751 EJ in 2025.[1,2,3]
- Its strongest openings are in downstream gas and upstream nuclear, where its Economic Opportunity is higher than 92% and 89% of the other economies scored.[1]
- On the paper's weighting, the Strategic Index ranks upstream batteries 1st among Israel's own sectors. Top data-based priority meets the least policy activity in upstream nuclear, upstream wind, upstream green hydrogen, upstream electric grid and upstream electric vehicles.[1]
- The Partnership Strength Index rates the United States highest for Israel, as a reliable supplier. It is also Israel's 1st trade partner; China ranks 2nd by trade but 40th on Partnership Strength.[1,4]

1. Energy security risks and why

11 of Israel's 27 placed sectors, those whose scores can be compared with other economies, sit in the two low-energy-security corners, Upgrade and Secure. Energy Security measures how well a country can rely on what it needs in a sector: its own production and reserves, its import needs and how concentrated world supply is.[1]

Its lowest Energy Security percentiles are in upstream coal, midstream electric vehicles and upstream electric grid. In upstream coal it scores 0.24, higher than only 5% of the other 95 economies scored, which places it in the Secure corner. In midstream electric vehicles it scores 0.32, higher than 16%, and in upstream electric grid 0.33, higher than 25%; both sit in the Secure corner.[1]

Its high-priority sectors are the high-opportunity, low-energy-security sectors that the Strategic Index ranks highest. Among them, downstream wind scores 0.42, higher than 34% of the other 92 economies. Consumption and investment pull it down: on power capacity per person it scores higher than only 22% of the other economies, and on annual investment higher than 23%.[1]

In upstream coal the score is low mainly because of import needs and trade. Coal production minus consumption was -0.0751 EJ in 2025 (production from the U.S. Energy Information Administration's international statistics, as the Energy Institute does not report it separately). Its share of world exports of these goods was 0.0% in 2023. In midstream electric vehicles, foreign dependency and trade pull the score down. The region it is grouped in made 0.7% of the world's electric vehicles in 2024, and Israel's trade deficit in these goods equalled 0.8% of GDP in 2023.[2,3,5,6]

For context, Israel imported USD 6.23 bn of midstream electric-vehicle goods in 2024; its largest suppliers were China (36.6%) and Belgium (11.1%).[4]

2. Economic opportunities and why

19 of its 27 placed sectors sit in the two high-opportunity corners. Economic Opportunity measures how well placed a country is to create value in a sector: exports, related capabilities, investment, costs, demand and technology readiness.[1]

Its highest Economic Opportunity percentiles are in downstream gas, upstream nuclear and midstream gas, higher than 92%, 89% and 86% of the other economies scored in each. All sit in the Grow corner.[1]

In downstream gas, consumption and energy access push the score up: its consumption in this sector was 51.3 GJ per person in 2025. In upstream nuclear, cost competitiveness and trade push it up. On labour and capital costs it scores higher than 74% of the other economies, and its export feasibility, how close these goods are to what it already exports well, is 0.19 for 2023. In midstream gas, cost competitiveness and trade also push it up: its exports of these goods were USD 226 m in 2024.[1,2,5,7]

For context, its largest markets in midstream gas in 2024 were Greece (28.2%), Poland (21.7%) and the United States (21.0%).[4]

The paper's framework associates the Grow corner, high opportunity with high energy security, with building on strength (export promotion in RMI (2025)). In upstream wind, a high-priority sector in the Upgrade corner, its Economic Opportunity is higher than 80% of the other 90 economies. The framework associates that corner with building domestic capability (leapfrogging).[1]

3. Sectoral priorities and the existing policy posture

The Strategic Index ranks a country's own sectors by how strongly the data point to prioritising them, adding opportunity, security need, existing policy activity, the stage and the technology's low-emission value. On the paper's weighting, it ranks upstream batteries 1st among Israel's own sectors at 0.65, ahead of midstream solar by 0.010. Security need adds 0.243 to that score and opportunity 0.136.[1]

It ranks midstream solar 2nd, downstream solar 3rd and upstream solar 4th; each is almost tied with the sector ranked after it, at 0.001, 0.005 and 0.002 apart. Israel's allied pick, its first upstream or midstream sector on the Strategic Index after a resource-base screen, is midstream solar. Its top-ranked sector, upstream batteries, is screened out because no resource base is recorded for it.[1,8]

To compare priorities with policy without counting policy in both, priority is read without the policy term, and both are split into thirds of Israel's sectors. The sectors with top priority and the least policy are upstream nuclear, upstream wind, upstream green hydrogen, upstream electric grid and upstream electric vehicles. In upstream wind, policy activity adds 0.000 to the Strategic Index, and 0 International Energy Agency Policies and Measures records name both its technology and its stage. The reverse, bottom priority with the most policy, applies to downstream electric vehicles, downstream gas and downstream oil.[1,9]

With no Climate Action Tracker rating, Israel's policy basis is International Energy Agency Policies and Measures records only. It has 86 such records, 55 of which name a technology.[1,9]

4. Partnership priorities and why

The Partnership Strength Index scores how strong a partner is in energy supply chains: as a reliable supplier (Friendshore), as an export market (Partnership Opportunity) or, for middle- and lower-income partners, through Development Potential. From Israel's viewpoint it rates the United States highest, as a reliable supplier, strongest in midstream batteries, upstream nuclear, upstream wind, midstream wind and midstream electric vehicles.[1]

The Netherlands ranks 2nd, as an export market; Italy ranks 3rd and Germany 4th, each as a reliable supplier; the Czech Republic ranks 5th, as an export market.[1]

Today's ties match this ranking only in part. The United States is also Israel's 1st trade partner by average share across its energy-goods baskets, and Germany its 3rd. The Netherlands ranks 14th by trade, and the Czech Republic is a priority partner with few ties today. Israel has a U.S. free-trade agreement, and it votes in the same bloc as the United States at the United Nations.[1,4,10,11]

China is Israel's 2nd trade partner but ranks 40th on Partnership Strength, with a Friendshore score of 0.76 against 0.99 for the United States; Israel and China vote in opposite blocs. Switzerland, its 4th trade partner, ranks 43rd.[1,4,11]

As a partner to the coalition, Israel ranks 29th of 192 economies, averaged over the core members' viewpoints. In the allied network design, which spreads upstream and midstream production across coalition members, its largest designed shares are 13.5% of midstream geothermal and 10.5% of upstream geothermal.[1,8]

5. Data notes and caveats

Values are as of 12 October 2026. Scores compare Israel with other economies in the same sector; they are not measures of risk or profit in absolute terms. All index values are the paper's baseline as of 12 October 2026; Strategic Insights recomputes them under other weightings. Some of Israel's sectors are not placed: a score is compared with other economies only when the economy is sovereign and at most half of the score rests on filled-in data. The Climate Action Tracker does not rate Israel, so its policy activity rests on International Energy Agency Policies and Measures records alone; its policy levels compare only with economies on the same basis. Strategic Index scores within 0.01 of each other are almost tied: small changes in the data or the weights can swap their order. Many allied picks are close calls: in the paper, 37% of them are within 0.01 of the runner-up. Country Insights shows the detail.

Sources

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Allied Industrial Base Explorer, Country Insights: Israel